



MORE ABOUT CREDIT: ESTABLISHING, AVOIDING, IMPROVING

Since we're discussing the subject of debt in this book, we also need to discuss credit.

Credit and debt are not synonymous terms, although they are used interchangeably in our society. Credit can best be defined as *the establishment of a mutual trust relationship between a lender and a borrower.*

Debt, as defined previously, is a condition that exists when a loan commitment is not met or inadequate collateral is pledged to unconditionally satisfy a loan agreement. Borrowing is not the only way to get into debt. A court decree in a lawsuit, for instance, can result in debt. But for the purpose of this book, we'll limit our discussion to credit-related debt.

GETTING (ESTABLISHING) CREDIT

Many young people get into trouble with credit because they are desperate to establish credit and because it is easy for them to qualify for more credit than they can manage.